

Straight-Line Loans vs. Fully Amortized Loans

Fully Amortized Loans

Typically, when a mortgage loan is made, the borrower will make mortgage payments based on the numbers outlined in an **amortization schedule**. This payment method may be referred to as the "constant payment method," meaning that the borrower's installment payment remains the same throughout the loan term (assuming it isn't an adjustable-rate mortgage, of course).

Taxes and Insurance

The phrase "remains the same" is a bit of a misnomer because the payment amount can fluctuate when taxes and insurance are included in the payment. When property taxes or insurance rises, a borrower's monthly mortgage payment will rise accordingly, but the portion that's paid on the principal and interest (the installment payment on the loan) remains constant throughout the loan term. As you know, interest accumulates over time, so by the end of a 30-year amortization payment plan at an interest rate of 4.25%, the homeowner may have paid approximately \$530,000 for what was initially a \$300,000 loan. Even though the installment payment remains the same, the amount of the payment that's applied to the principal and interest do change. More of the payment goes toward interest at the beginning of the loan, and principal is paid off rather slowly. As the years go by, more of each payment is applied to the loan's principal balance.

Straight-Line Loans

With a **straight-line loan** (also called straight-line amortization or constant amortization), the portion of the payment applied to the principal remains the same with each payment, and the interest amount varies according to the outstanding loan balance. This means that the amount of each payment changes, and the borrower makes higher installment payments at the beginning of the loan when the loan balance is higher and more interest is due. Over time, the amount of each installment payment lowers the outstanding balance.